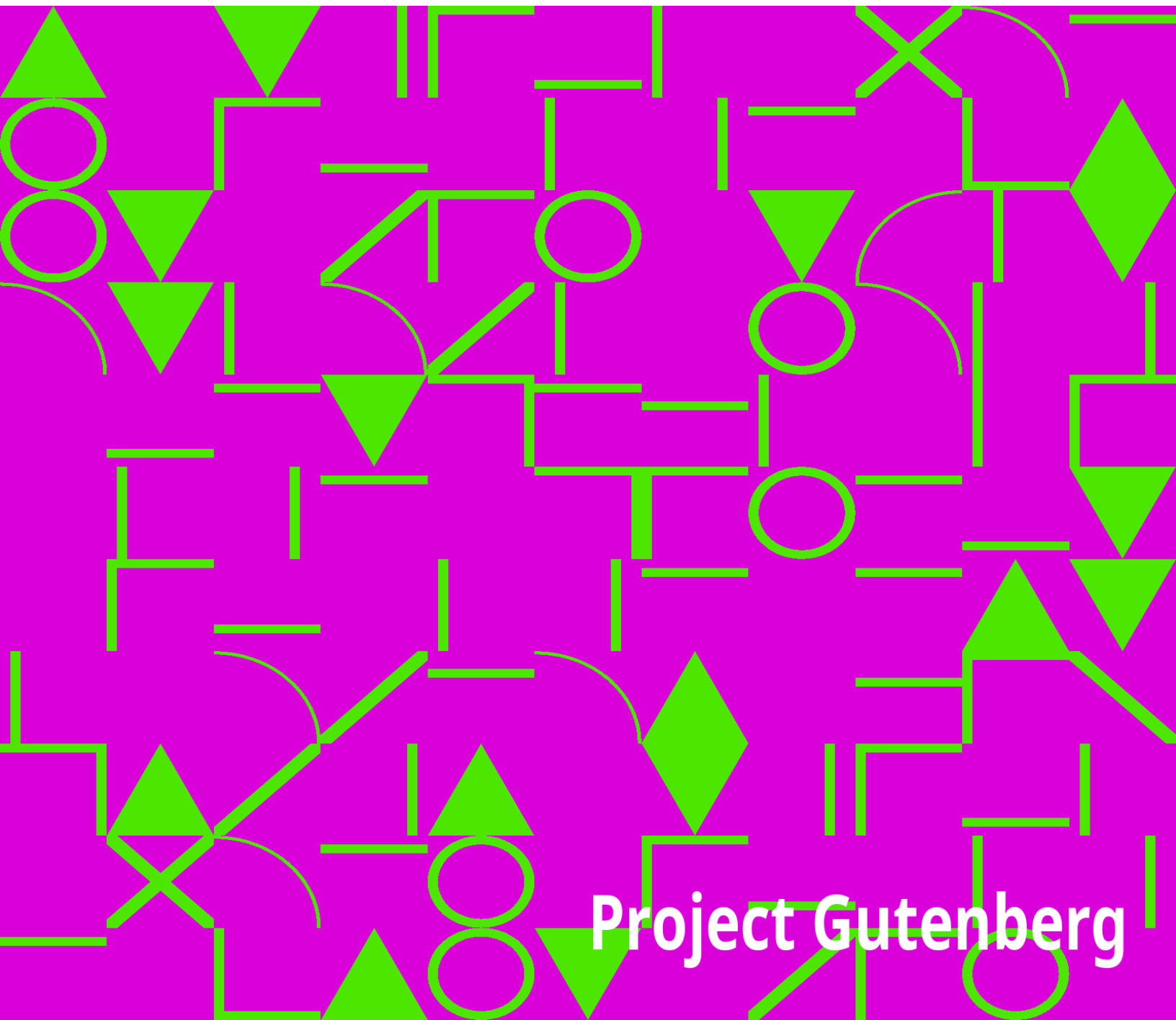


A Short View of the Laws Now Subsisting with Respect to the Powers of the East India Company

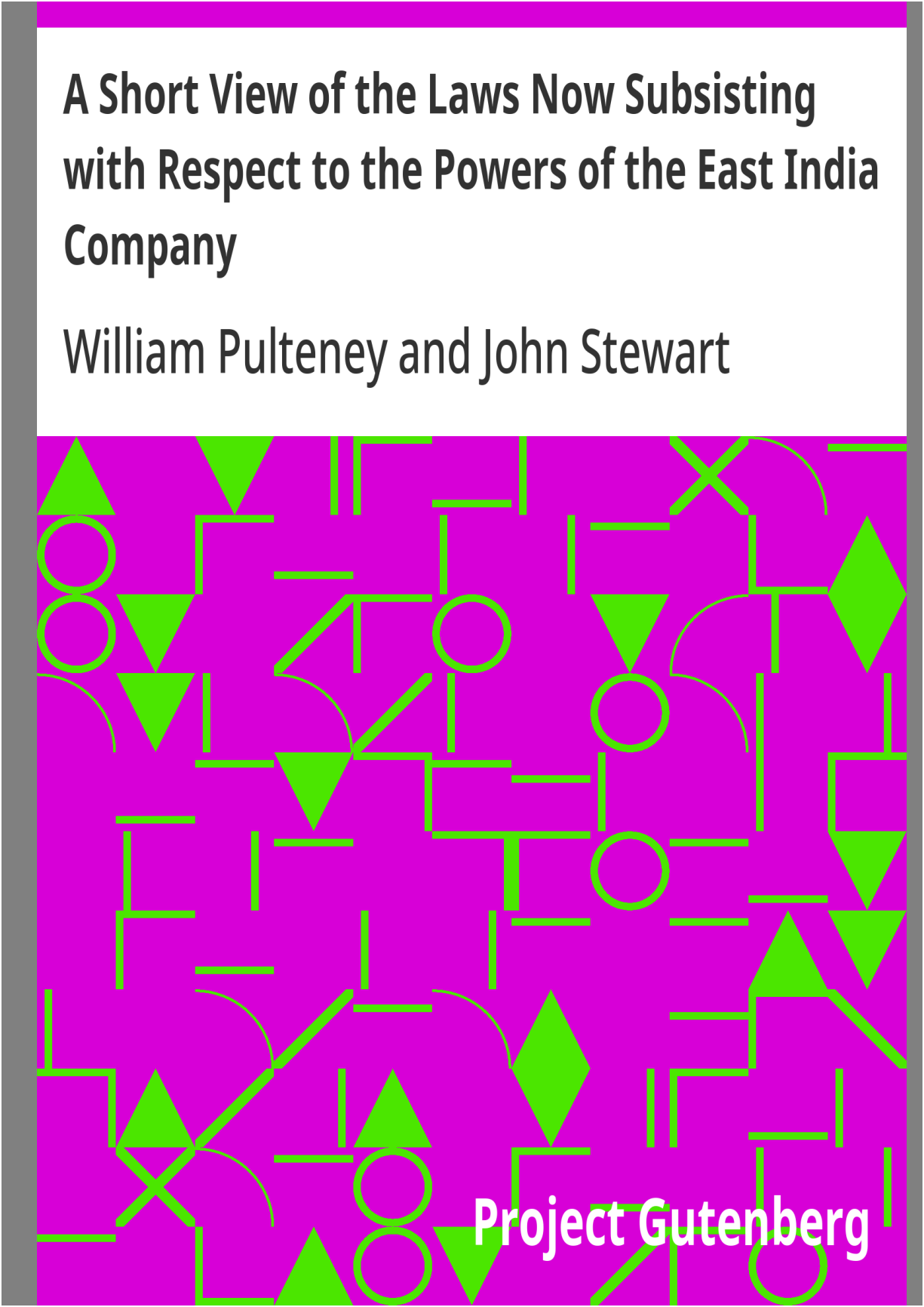
William Pulteney and John Stewart



Project Gutenberg

A Short View of the Laws Now Subsisting with Respect to the Powers of the East India Company

William Pulteney and John Stewart



Project Gutenberg

The Project Gutenberg eBook of A Short View of the Laws Now Subsisting with Respect to the Powers of the East India Company

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg License included with this eBook or online at www.gutenberg.org. If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

Title: A Short View of the Laws Now Subsisting with Respect to the Powers
of the East India Company

Author: William Pulteney
John Stewart

Release date: August 14, 2011 [eBook #37082]

Language: English

Other information and formats: www.gutenberg.org/ebooks/37082

Credits: Produced by Richard J. Shiffer and the Distributed
Proofreading volunteers at <http://www.pgdp.net> for Project
Gutenberg. (This file was produced from images generously
made available by The Internet Archive.)

*** START OF THE PROJECT GUTENBERG EBOOK A SHORT VIEW
OF THE LAWS NOW SUBSISTING WITH RESPECT TO THE POWERS
OF THE EAST INDIA COMPANY ***

Transcriber's Note

Every effort has been made to replicate this text as faithfully as possible, including obsolete and variant spellings and other inconsistencies. Text that has been changed to correct an obvious error is noted at the [end](#) of this ebook.

A SHORT VIEW OF THE L A W S

Now subsisting with Respect to the Powers of the
EAST INDIA COMPANY

To borrow Money under their Seal, and to incur Debts
in the Course of their Trade, by the Purchase of
Goods on Credit, and by freighting Ships or other
Mercantile Transactions.



L O N D O N :

Printed for W. NICOLL, in St. Paul's Church-Yard.
MDCCLXVII.

A short View, &c.

As many erroneous opinions have been industriously propagated with respect to the powers of the East India Company to contract debts, I think it a duty to the Company and to the public, to give a fair state of the laws now subsisting with respect to these matters, by which the prejudiced may be set to rights, the ignorant informed, and the malevolent deceivers of the public exposed and detected.

By act 9 and 10 William III. c. 44. § 75. the Company is allowed to borrow on the credit of the two millions lent to Government, but is restrained from borrowing any greater sums than shall be employed in their trade, without, however, any restriction as to the amount of such borrowing, only such borrowing must be under common seal.

By § 86 of the same statute, the Company is directed to take care that the sum total of its debts do not exceed the amount of its funds and effects, and if they shall reduce their funds and effects by dividends, so as not to leave sufficient to answer their debts, the persons who receive the dividends are each made answerable to pay the debts, to the amount of the dividend respectively received.

By act 9 Ann, c. 17. § 2. The Company having lent to the public 1,200,000*l.* more, they are allowed to borrow under their common seal, to the amount of 1,500,000*l.* above what they might lawfully borrow by the preceding act.

By act 7 Geo. I. c. 5. § 32, the Company is allowed to borrow under their common seal for carrying on their trade or lending on bottomry, to the amount of the sum due from the publick, *or five millions.*

By act 17 Geo. II. c. 17. § 8. the company having advanced *one million* more to government, the power of borrowing under their common seal, is extended to one million above what they might borrow before that act.

In consequence of these acts, the Company has always considered itself entitled to borrow to the amount of six millions under its common seal.

By act 23 Geo. II. c. 22. § 5 and 6. the Company was authorized to convert part of its bond debts into annuities, to the amount of 4,200,000*l.* but it is declared that its power of borrowing granted by former acts should continue in force, but that the amount of the annuity should be computed as part of what they were empowered to borrow.

In consequence of this last act, the Company did convert 2,992,440*l.* or near *three millions* of their bonds into annuities, and they owe besides, by bonds under their common seal, 2,898,124*l.* so that the total amount of their bonds and annuities is 5,890,564*l.* which is 109,436*l.* under the six millions which they are entitled to borrow by bonds and annuities.

In the course of the Company's trade, they have been in the practice, like all other merchants, of purchasing goods upon credit, and of contracting for ships upon freight, and only advancing a part of that freight 'till after the voyage was compleated. It was impossible for them to carry on their trade in a proper manner in any other way, for if they had paid ready money for all their goods, and advanced the whole freights, they would have been exposed to imposition in the quality of the goods, and to misconduct in the freighters of the ships, without retaining in their hands a proper sum to repay such damage as the Company might suffer by the hands of the freighters or merchants.

It never therefore was supposed that the Company transgressed the statutes which restrained their power of borrowing under their seal to six millions, by carrying on their trade in the way of purchasing goods on credit; and indeed if this had been meant, the law would and ought to have allowed them a more extensive power of borrowing; for it is certain the Company's fortifications in India have cost more than *three millions*, and the nature of their trade in India requires that they should always have to the value of at least *three millions*, in goods and cash, or what is called quick stock, employed in India for making their investments, (including the cargoes afloat going out and coming home) so that here is the whole sum which they are allowed to borrow, disposed of in India, besides the value of the goods which they must always have in their warehouses at home, to the amount of more than *two millions*.

If it had been therefore the intention of the Legislature to restrain the Company from purchasing goods on credit, or from incurring freights or other such debts, and that their whole debts of every kind should not exceed six millions, it is very plain to those who are versant in mercantile transactions, and who know the state of this company's trade, that they could not have carried on their affairs in such a manner as they have done, nor have rendered the trade of India so great an object as it is, to this commercial kingdom.

It has sometimes happened to this Company, as it frequently happens to other merchants, that its returns have not arrived at the time expected, and that their investments during some particular years have fallen short; in such cases they have not been able to pay, with the strictest punctuality, the price of the goods bought on credit, nor the freights due for shipping or other articles of the same kind; and in such cases the furnishers of these goods or ships have indulged the Company with a delay of payment; and in order to indemnify themselves for that delay, these creditors have either taken a higher price for their next goods, or sometimes have been allowed interest from the Company, but in no instance have these debts, so contracted, been converted into debts under the Company's seal, nor were ever considered as money borrowed.

The purpose of restraining the Company as to their power of borrowing under their common seal, was merely to prevent their interfering in the market with government loans, exactly upon the same principle that private lotteries, &c. are prohibited by law; but in all other respects the Company is unlimited, as every private merchant is, as to the exercise it may chuse to make of its credit in the purchase of goods, or incurring debts in any other mode except coming into the market to borrow under their seal, by which alone the Company can interfere with the loans required by Government for the purposes of the state.

So long as the Company carries on its trade with advantage to itself and the nation, and preserves entire, an ample sufficiency of funds to pay all its debts, and repay its capital, there can be no reason in common sense for preventing its employing its credit in the purchase of as great a quantity as

possible of our own commodities to send to India, and employing as great a number of shipping as the trade will possibly allow.

The Company's trade is so much extended of late years beyond its former limits, that its power of borrowing on annuities and bonds ought also to have been increased; for if six millions was thought reasonable forty or fifty years ago, the publick ought now by the same parity of reason to allow at least eight or ten millions to be borrowed under seal, especially as the wealth of the nation, and of consequence the market for borrowing has so greatly increased during that period. The expensive wars which the Company carried on for many years, obliged them, for want of cash, or a power of borrowing, to diminish both their exports and imports to the great prejudice of the nation; so that the kingdom in general has no reason to applaud the wisdom of that law which retrained the Company to six millions. Besides, we have of late years extended our China trade beyond any thing that was ever attempted in former times, insomuch that above *three millions* sterling is now invested in teas alone. It is impossible that we could either have carried on these wars which have ended with so much success, or have extended our commerce and the exportation of home commodities to the amazing degree we have done, if the statutes restricting our borrowing under seal had been understood to prohibit the using our credit in the purchase of goods.

The debts due by the Company at present, exclusive of its bonds and annuities, are particularly set forth in an account delivered in by order of the House of Commons, the particulars of which debts are these:

For customs on goods, sold and unsold, now in England, £ 1,200,605

The customs are not payable till the goods are sold, and even as to those sold, a long delay of payment is always allowed. The arrear of customs on goods sold, is at present about 300,000*l.* or 400,000*l.*

£

To what owing for silver and to sundrys, with interest thereon, 581,756

The greatest part of this debt is due to the bank of England, as the price of silver bought from the bank for exportation, several years ago. The Company never granted any security under their seal for this debt, more

than for the price of other goods bought on credit; and this debt stands at this day upon the footing of a simple entry in the Company's books, and in the books of the Bank, as a sum due for the price of silver, and the Bank have willingly accepted interest at 4 *per cent.* and have indulged the Company with a delay of payment.

	£
To the amount of bills of exchange drawn from India, unpaid, with interest,	338,000
To freight and demurage,	305,000
To tradesmens bills in the department of the committee of shipping,	155,909
To ditto, in the committee of buying,	64,079
To dividends on stock not yet demanded,	23,883
To dividend on stock, due at Midsummer, at the rate of 10 <i>per cent.</i>	859,704
To interest on annuities to Midsummer, including interest not yet demanded,	75,406
To interest on bonds to Midsummer, including interest not yet demanded,	60,553
To commission due to supercargoes,	30,000
To the proprietors of goods sold in private trade,	75,900
To warrants passed the court unpaid,	7,500
To alms-house at Poplar,	13,503
To salaries of clerks, &c. and for tradesmens bills for work done to the house, &c.	5,000

To ballance to government for naval and garrison stores received in India, 9,223*l.* but as government owes to our company 33,750*l.* as the price of salt-petre, this ought not to be stated.

These are the whole debts dated by the Directors themselves as due by this Company, besides their bonds and annuities, a great part of them are not payable in the common course of business for a considerable time, some of them not till the year 1769, and the Company are possessed of effects now in England, independent of the cargoes of this year daily expected, sufficient to pay them all; but at any rate none of these debts fall within the prohibition of the statutes by which the Company is restrained from borrowing under their common seal to a greater amount than six millions, for none of these debts have been borrowed under the Common seal, nor indeed have been borrowed at all in the sense meant by the act of parliament, but are merely book debts contracted as the price of goods, &c. in the common course of merchandise.

It further appears by a calculation made by one of the Directors themselves, a member of the committee of treasury, that by the sale of goods in the

common course of the Company's sales, the Company will be in cash, to pay off all these debts and also to pay the dividend of 6¼ *per cent.* against the month of February 1768. A copy of this account is annexed.

But whatever may be in that matter, it is sufficient for the present argument, to shew that none of the debts due by the Company, over and above their bonds, fall within the prohibition of the statutes which have restrained the Company's power of borrowing under seal; none of the Company's creditors have complained of the late increase of dividend, the Directors alone and their faction have objected to it, and have pretended as their excuse that they deemed it illegal to make any increase of dividend while the Company owed any debts beyond the six millions in bonds and annuities. They have not urged the argument as a matter of inexpediency merely, for that argument would have appeared too groundless when the payment of all these creditors must in every way take place almost immediately, but they have put the argument on an objection of illegality, founded upon the statutes which restrain the Company's power of borrowing; and indeed if the objection of the Directors had arose from inexpediency alone, they could not have been justified in making so violent and obstinate an opposition to the sentiments of the Proprietors, nor could they be justified as honest men in endeavouring to shake the very foundation of the Company's credit, and to injure its stock, in order merely to save the Company from paying a sum of 40,000*l.* more or less, in February next. But indeed upon the footing of the Directors argument that the Company can never divide if they have other debts besides their bonds and annuities, no dividend can ever take place, for the Company cannot carry on their trade in a proper manner without contracting such debts as the price of goods purchased on credit, and the freights of ships employed by them.

It is proper therefore, after having premised this general view of the statutes which restrain the Company's power of borrowing, to consider these statutes more particularly one by one, to see if we can discover any pretence for that doubt which the Directors have affected to entertain concerning the Company's power of borrowing.

It is extremely remarkable, that when the Directors were asked in the general court whether they had taken any opinions of council to justify their

pretended doubt as to the Company's power of contracting such debts, they declared that they had not, and the chairman said, he did not think they would have been justified if they had taken such opinions. Nothing can shew more clearly the unjustifiable motives of the Directors opposition than this answer: they opposed the dividend upon pretence of a doubt of the Company's power of incurring debts beyond six millions, and yet they did not take the opinion of council concerning the Company's real powers. They knew that no opinion could be procured to give a foundation for the doubt which they pretended to entertain, and therefore they took no opinions, but made use of their pretended doubt as a mask to cover the real motives which induced them to engage in their conspiracy against the interest of the proprietors whose servants they are.

The act 9 and 10 of king William, c. 44. contains no clauses which can any way restrain the Company's power of borrowing or extending its trade, except what is to be found in section 61, 62, 64, 75 and 86.—By sections 61, 62 and 64, there is no other restriction except that the Company shall not, *in any one year*, successively, send or cause to be sent to the East Indies from England or any other country, goods, bullion, or commodities to any greater value than their principal stock subscribed. And the fact is, that the Company never has sent *in any one year*, goods, bullion or commodities to the value of one-third of their principal stock, and therefore no argument can be founded on the limitations contained in these three clauses.

The section 75 of this statute, begins with a recital of the act 8 and 9 of king William in favor of the Bank of England, viz. that no other Bank than the Bank of England shall be erected, permitted or allowed by act of parliament, and then the act proceeds, that for the better securing the priviledges of the Bank of England, *It shall not be lawful* (in the record it is *shall and may be lawfull*) for any Company to be established by virtue of this act, to borrow or give security for any sum or sums of money on credit, on any publick funds hereby granted, and that it shall not be lawful for such Company to be established by virtue of this act, to borrow or give security for any greater sum or sums of money, than such as shall be really and *bona fide*, expended and laid out in and for the buying of goods, bullion or commodities, to be exported for the proper account of the said Company to

be established, or shall be otherwise employed in their trade, all which sum or sums of money so to be borrowed for the purpose aforesaid, shall be borrowed only on their common seal, and shall not be made payable or *bona fide*, agreed to be paid at any time less than six months from the time of borrowing thereof: and that it shall not be lawful for the Company to be established by this act, to discount any bills of exchange, or other bills or notes whatsoever, or to keep any books or cash for any persons whatsoever, other than only the proper monies and cash of the said Company.

The plain import of this clause is not to restrain the Company with respect to the extent of their trade, but merely to prevent its interfering with the business carried on by the Bank of England. The purchasing goods upon credit can never be considered as an interference of that kind.

The 86th section of this act does no way restrain the Company with respect to the amount of its debts, excepting only that the Company shall take care that the sum total of all the debts which they shall owe at any one time shall not exceed the value *of the principal or capital stock or stocks which at any such time shall be and remain to the said society undivided*; and that in case the Company, by any dividend whatsoever to be made amongst themselves, shall reduce or lessen their joint stock, principal or capital, without paying off or proportionably reducing the sum total of their debts, so that the value of the joint stock, principal or capital undivided, shall not be sufficient to answer their just debts then remaining unpaid. In every such case the particular members receiving such dividend shall be severally liable to the amount of the dividends received, to pay and satisfy the debts which shall remain due and unpaid by the Company.

The plain import of this clause of the act, is to secure the creditors of the Company from any injustice by the Company's dividing their effects so as not to leave a sufficiency for payment of its whole debts, and can never admit of the construction which has been attempted to be put upon it, as if the Company's debts could never exceed the sum of money subscribed to Government.—By the words principal or capital flock or flocks undivided, is plainly here to be understood the total funds and effects of the Company, which are in fact the capital upon which the Company does trade; and there would be the greatest absurdity in supposing, that in a case

where the Company had in its warehouses goods and effects to the value of three times its debts, the debtors of the Company could have an action against the receivers of dividends, under pretence that the sum total of the Company's debts exceeded the sum total of the capital stock subscribed to Government, at a time when the Company's total goods and effects might, as at present, exceed its total debts, in such a proportion as not only to pay its whole debts, but also to repay its capital advanced, and leave five or six millions over of clear ballance to be divided amongst the proprietors.

But if the words, principal capital stock or stocks undivided, could in this clause admit of the construction which is put upon them, yet certainly the words *sum total of debts* can in that case be only understood to mean the ballance of debts after deducing the fair value of the Company's effects, other than its capital subscribed; and if the *debts* are understood in this sense, viz. as the ballance of debts, there would be no inconsistency, that when the sum total of the ballance of debts exceeds the capital stock subscribed, that the receivers of dividends should be respectively answerable to pay the debts in proportion to what they receive, but unless the words, principal or capital stock or stocks undivided, or the words, sum total of debts are to be understood in the sense here affixed to them, the statute can not be explained so as to be agreeable to common sense or reason.

By the act 6th Q. Ann. c. 17. § 2. it is provided, that for the better enabling the East India Company to raise and pay the sum of 1,200,000*l.* advanced to the publick, the common seal of the Company shall and may be made use of to borrow any sum or sums of money, from time to time, upon account of their united stock and funds, so as the sum total of all the principal monies which at any one time shall be owing upon the security of the said seal do not exceed 1,500,000*l.* over and above the monies which might lawfully be borrowed thereupon before the making of this present act.

If any obscurity had in fact existed upon the footing of the former acts, this clause of the act 6 Q. Ann is sufficient to clear it up, the Company are no way restrained by the plain words and meaning of this last clause, as to the other book debts which they may owe not under the common seal, because

debts under the common seal are the only ones which could interfere either with the Bank of England or with Government loans.

By the act 7th of George I. c. 5. p. 32. it is enacted, that it shall and may be lawful for the East India Company to borrow or take up money upon any contracts, bonds, &c. under their common seal, for carrying on their trade, or for lending money, by way of bottomry, so as by the monies already borrowed by them, and by the monies which they shall hereafter borrow pursuant to this act, the whole sum which they shall owe at any one time do not exceed the sum due at that time from the public to the said Company, or the sum of *five millions* of pounds sterling in the whole.

The plain meaning of this clause is, that the Company shall not owe, *under their common seal*, at any one time, a greater sum than 5,000,000*l.* but it neither imports nor implies any restriction upon the Company with respect to the purchasing goods upon credit, or freights due to ships, or other book debts incurred in the common course of trade without borrowing.

A criticism has been made on this clause, as if the Company could not take the benefit of borrowing to the amount of five millions under this statute, because the first part of the statute recites a plan or scheme which had been formed for incorporating nine millions of the South Sea capital stock into the stock of the East India Company, which scheme never took effect, and therefore it has been argued that the power of borrowing given to the East India Company being a part of that scheme, must fall with it.

But the answer is very obvious: the power of borrowing given to the East India Company is not granted under any condition whatever, but is given in positive and direct words, to the amount of five millions—and the act does not proceed upon the intention to incorporate the nine millions of South Sea stock as a condition, but only recites that as a proposition, and gives leave to the several Companies to carry it into execution if they thought proper.

But if any doubt had remained concerning this power of the Company to borrow five millions, it is fully removed, not only by their having in practice explained the act in the most extensive manner, without challenge, but by the subsequent act 23 Geo. II. c. 22. § 5 and 6. which plainly proceeds upon the supposition, that the Company was at that time intitled to

borrow to the amount of six millions, and allows them to convert 4,200,000*l.* as part of their bonds into annuities.

The 33d section of the same act is a repetition almost verbatim of the 75th section of the act 9 and 10th of king William, c. 44. by which, in order to prevent the Company from interfering with the Bank of England, they are allowed to borrow on the credit of their capital stock, provided the sum so borrowed shall be laid out in goods to be exported or otherwise employed in their trade, or lent on bottomry, and that such sums shall only be borrowed under their common seal, and shall not be payable on demand but at six months, and that they shall not discount bills or notes, or keep cash for other persons.—In this clause the words "*it shall not be lawful*," in place of "*it shall and may be lawful*," are erroneously copied from the printed clause 75th of the act 9 and 10th of William, c. 44.

The act 17th Geo. II. c. 17. § 8. gives the Company simply a power in order to raise the sum of one million paid by them to Government, of borrowing *under their common seal* to the amount of one million more than they could before lawfully borrow.

This seems to be a compleat view of the whole subsisting statutes by which the East India Company is restrained from borrowing money; and it must appear evident, that by none of them the Company is prohibited from purchasing goods upon credit, or incurring book debts, and therefore the great clamour which has been raised, as if the Company had acted contrary to law, or in an inexpedient or improper manner, by incurring the book debts which it presently owes, over and above its bonds and annuities, must appear totally groundless and absurd.

It further appears, that the Company's affairs are now in such a situation, that every one of these debts will be paid off in a very few months, and that the 40,000*l.* of additional dividend, voted to take place at Christmas next, will in no respect retard the payment of these debts; and that the Company will be further possessed, when the ships of this season shall have arrived, of effects equal to the payment of almost the whole of their bond debts, which, however, there is no intention nor no occasion to pay off.

But supposing the whole of the Company's book debts could not be so soon discharged, this can be no objection to the small additional dividend of 40,000*l.* considering the present flourishing state of the Company's affairs. The creditors to whom the book debts are owing are under no uneasiness, nor do they complain of the increase of dividend, which it is now allowed the Company are fully able to pay, and to continue that payment out of the profits of their trade alone.

Every merchant, when he regulates the sum to be bestowed by him upon his subsistence, or the annual expence of his family, considers, *first*, what is the total amount of his effects, compared with his debts; and secondly, what is the amount of his annual profits; and if he finds that he has a considerable fortune over and above his debts, and that his annual profits are also considerable; he freely resolves, and with great propriety, to bestow a share of his annual profits upon the support and expence of his family; and it never can enter into his deliberation, in fixing what that annual expence shall be, whether or not at every particular period of the year, he is sure of having a balance of cash in his banker's hand; because, if his total expence is properly regulated, so as not to exceed what he can really afford, he knows the goods he is possessed of, must always be able to command cash sufficient for his temporary occasions: and indeed, if this rule were erroneous, there are many merchants in London possessed of fortunes to the amount of 150,000*l.* and their annual profits two or three thousands, who could not afford 50*l.* a year for their usual subsistence. If they were to be restricted in the manner now proposed for the India Company, they could not purchase a dinner and pay their debts; their effects probably in America or the West Indies, in the way of trade, their returns uncertain, as to the particular time, and large debts due in England, as the price of cargoes sent abroad; so that, upon the footing of their banker's book, after deducting all their debts due at home, they might be obliged to subsist upon air for several years together.

The credit of a public company is much superior to that of private merchants; those to whom they owe the prices of goods, freights or other book debts, are much more ready to indulge them with delays of payment than the creditors of particular merchants. The India Company is under no embarrassment with respect to its creditors; its only embarrassment is from

the choice it has unhappily made of a set of Directors, who seem determined, if possible, to stab the credit of the Company, and to try to what degree of injuries and insults the patience of the Proprietors will tamely submit.

The Proprietors have resolved to apply to Parliament, by petition against a bill now depending, for rescinding the 2½ *per cent.* additional dividend, voted by the general court on the 6th of May last, in strict conformity to the powers granted by charter. The respect due to the Legislature restrains me from expressing my sentiments with regard to this retrospective law relating to private property and public credit. If any thing is interesting in this happy constitution, these points certainly are. The questions concerning general warrants, and dispensing powers, were, in respect of these, of very inferior importance. It is the duty of every British subject to submit with reverence and veneration, to whatever obtains the sanction of the three branches of the Legislature; but when any particular bill appears, to common apprehension, to be of dangerous consequence, we are entitled to hope and presume that it never will pass into a law.

State of the East India Company's affairs with respect to the cash which will come into their treasury, and what must be issued from thence at different periods.

Cash.		Dr.		
		<i>l.</i>	<i>s.</i>	<i>d.</i>
1767. May 11.	To ballance of the account of the debts and credits of the East India Company in England, made out by the Court of Directors, estimated to the 11th of May 1767, after deducting the amount of the bonds from the debt side, and what the government owes to the Company from the credit side,	66,408		
Sep.	To part of the produce of the cargo by the Asia, that will be exposed to sale,	30,000		
1768. Jan.	To part of the produce of eleven ships, viz. from Bengal and Madras, three from Bombay, and one from Mocha, the prompt payment,	665,386	13	4
		761,794	13	4
	To this sale might be added the prompt of the sale of 1000 peculs of silk, by the fourteen ships from China,	150,000		
	China ware, drugs, &c.	20,000		
		170,000		
	To balance to February 5, 1768, brought forward,	544,485	13	4
July 31.	To part of the produce of the eleven ships to be exposed at the March sale, the prompt,	332,693	6	8

	To the private trade,	22,000		
	To transacting the annuitants,	1,687	1	
		900,866	6	8
1767.	<i>per Contra,</i>	<i>Cr.</i>		
Oct. 31.	By $\frac{1}{4}$ interest on the bonds and annuities, deducting what received from government, due at Michaelmas,	12,679		
Dec. 25.	By $\frac{1}{2}$ a year's salaries, and other contingencies,	5,000		
1768.				
Feb. 5.	By $\frac{1}{2}$ a year's dividend on the stock, at $12\frac{1}{2}$ <i>per cent. per annum</i> ,	199,630		
		217,309		
	Balance of cash in favour of the Company in February 1768,	544,485	13	4
		£761,794	13	4
	By the above balance,	544,485	13	4
	By silk and drugs, &c. on the <i>Dr.</i> side,	170,000		
		714,485	13	4
1768.				
March 25.	Due to government, by agreement, the first payment	200,000		
May 1.	By $\frac{1}{2}$ a year's interest on the Bond and annuities, deducting what received from the government, due at Lady Day	25,358		
June 29.	By $\frac{1}{2}$ year's salaries, and other contingencies,	5,000		
Aug. 5.	By $\frac{1}{2}$ a year's dividends,	199,630		
		429,988		
	By balance of cash in favour of the Company in August 1768	470,878		
		900,866		

When this account was produced to the general court by the accurate and intelligent Director who made it out, he declared that he had dissented in the court of Directors from the opinion of the other Directors as to the $12\frac{1}{2}$ per cent. dividend, in which he had been joined by several other Directors, though a majority opposed this dividend, and he explained the above account in a very clear and satisfactory manner, and shewed, that in the preparing the account, he had made the most ample allowances of every kind, and declared himself ready to answer every objection which the other Directors could offer against it.—The other Directors fairly acknowledged that none of them had carried their calculations so far down as February 1768, when the dividend was to become payable.

Transcriber's Notes

The transcriber made these changes to the text to correct obvious errors:

1. p. 11 councel --> council
 2. p. 12 commodies --> commodities
 3. p. 20 50l. --> 50l.
 4. p. 20 subsistance --> subsistence
-

*** END OF THE PROJECT GUTENBERG EBOOK A SHORT VIEW
OF THE LAWS NOW SUBSISTING WITH RESPECT TO THE POWERS
OF THE EAST INDIA COMPANY ***

Updated editions will replace the previous one—the old editions will be renamed.

Creating the works from print editions not protected by U.S. copyright law means that no one owns a United States copyright in these works, so the Foundation (and you!) can copy and distribute it in the United States without permission and without paying copyright royalties. Special rules, set forth in the General Terms of Use part of this license, apply to copying and distributing Project Gutenberg™ electronic works to protect the PROJECT GUTENBERG™ concept and trademark. Project Gutenberg is a registered trademark, and may not be used if you charge for an eBook, except by following the terms of the trademark license, including paying royalties for use of the Project Gutenberg trademark. If you do not charge anything for copies of this eBook, complying with the trademark license is very easy. You may use this eBook for nearly any purpose such as creation of derivative works, reports, performances and research. Project Gutenberg eBooks may be modified and printed and given away—you may do practically ANYTHING in the United States with eBooks not protected by U.S. copyright law. Redistribution is subject to the trademark license, especially commercial redistribution.

START: FULL LICENSE

THE FULL PROJECT GUTENBERG™ LICENSE

PLEASE READ THIS BEFORE YOU DISTRIBUTE OR USE THIS WORK

To protect the Project Gutenberg™ mission of promoting the free distribution of electronic works, by using or distributing this work (or any other work associated in any way with the phrase “Project Gutenberg”), you agree to comply with all the terms of the Full Project Gutenberg License available with this file or online at www.gutenberg.org/license.

Section 1. General Terms of Use and Redistributing Project Gutenberg electronic works

1.A. By reading or using any part of this Project Gutenberg electronic work, you indicate that you have read, understand, agree to and accept all the terms of this license and intellectual property (trademark/copyright) agreement. If you do not agree to abide by all the terms of this agreement, you must cease using and return or destroy all copies of Project Gutenberg electronic works in your possession. If you paid a fee for obtaining a copy of or access to a Project Gutenberg electronic work and you do not agree to be bound by the terms of this agreement, you may obtain a refund from the person or entity to whom you paid the fee as set forth in paragraph 1.E.8.

1.B. “Project Gutenberg” is a registered trademark. It may only be used on or associated in any way with an electronic work by people who agree to be bound by the terms of this agreement. There are a few things that you can do with most Project Gutenberg electronic works even without complying with the full terms of this agreement. See paragraph 1.C below. There are a lot of things you can do with Project Gutenberg electronic works if you follow the terms of this agreement and help preserve free future access to Project Gutenberg electronic works. See paragraph 1.E below.

1.C. The Project Gutenberg Literary Archive Foundation (“the Foundation” or PGLAF), owns a compilation copyright in the collection of Project Gutenberg electronic works. Nearly all the individual works in the collection are in the public domain in the United States. If an individual work is unprotected by copyright law in the United States and you are

located in the United States, we do not claim a right to prevent you from copying, distributing, performing, displaying or creating derivative works based on the work as long as all references to Project Gutenberg are removed. Of course, we hope that you will support the Project Gutenberg mission of promoting free access to electronic works by freely sharing Project Gutenberg works in compliance with the terms of this agreement for keeping the Project Gutenberg name associated with the work. You can easily comply with the terms of this agreement by keeping this work in the same format with its attached full Project Gutenberg License when you share it without charge with others.

1.D. The copyright laws of the place where you are located also govern what you can do with this work. Copyright laws in most countries are in a constant state of change. If you are outside the United States, check the laws of your country in addition to the terms of this agreement before downloading, copying, displaying, performing, distributing or creating derivative works based on this work or any other Project Gutenberg work. The Foundation makes no representations concerning the copyright status of any work in any country other than the United States.

1.E. Unless you have removed all references to Project Gutenberg:

1.E.1. The following sentence, with active links to, or other immediate access to, the full Project Gutenberg License must appear prominently whenever any copy of a Project Gutenberg work (any work on which the phrase “Project Gutenberg” appears, or with which the phrase “Project Gutenberg” is associated) is accessed, displayed, performed, viewed, copied or distributed:

This eBook is for the use of anyone anywhere in the United States and most other parts of the world at no cost and with almost no restrictions whatsoever. You may copy it, give it away or re-use it under the terms of the Project Gutenberg™ License included with this eBook or online at www.gutenberg.org. If you are not located in the United States, you will have to check the laws of the country where you are located before using this eBook.

1.E.2. If an individual Project Gutenberg electronic work is derived from texts not protected by U.S. copyright law (does not contain a notice indicating that it is posted with permission of the copyright holder), the work can be copied and distributed to anyone in the United States without

paying any fees or charges. If you are redistributing or providing access to a work with the phrase “Project Gutenberg” associated with or appearing on the work, you must comply either with the requirements of paragraphs 1.E.1 through 1.E.7 or obtain permission for the use of the work and the Project Gutenberg trademark as set forth in paragraphs 1.E.8 or 1.E.9.

1.E.3. If an individual Project Gutenberg electronic work is posted with the permission of the copyright holder, your use and distribution must comply with both paragraphs 1.E.1 through 1.E.7 and any additional terms imposed by the copyright holder. Additional terms will be linked to the Project Gutenberg License for all works posted with the permission of the copyright holder found at the beginning of this work.

1.E.4. Do not unlink or detach or remove the full Project Gutenberg License terms from this work, or any files containing a part of this work or any other work associated with Project Gutenberg.

1.E.5. Do not copy, display, perform, distribute or redistribute this electronic work, or any part of this electronic work, without prominently displaying the sentence set forth in paragraph 1.E.1 with active links or immediate access to the full terms of the Project Gutenberg License.

1.E.6. You may convert to and distribute this work in any binary, compressed, marked up, nonproprietary or proprietary form, including any word processing or hypertext form. However, if you provide access to or distribute copies of a Project Gutenberg work in a format other than “Plain Vanilla ASCII” or other format used in the official version posted on the official Project Gutenberg website (www.gutenberg.org), you must, at no additional cost, fee or expense to the user, provide a copy, a means of exporting a copy, or a means of obtaining a copy upon request, of the work in its original “Plain Vanilla ASCII” or other form. Any alternate format must include the full Project Gutenberg License as specified in paragraph 1.E.1.

1.E.7. Do not charge a fee for access to, viewing, displaying, performing, copying or distributing any Project Gutenberg works unless you comply with paragraph 1.E.8 or 1.E.9.

1.E.8. You may charge a reasonable fee for copies of or providing access to or distributing Project Gutenberg electronic works provided that:

- You pay a royalty fee of 20% of the gross profits you derive from the use of Project Gutenberg works calculated using the method you already use to calculate your applicable taxes. The fee is owed to the owner of the Project Gutenberg trademark, but he has agreed to donate royalties under this paragraph to the Project Gutenberg Literary Archive Foundation. Royalty payments must be paid within 60 days following each date on which you prepare (or are legally required to prepare) your periodic tax returns. Royalty payments should be clearly marked as such and sent to the Project Gutenberg Literary Archive Foundation at the address specified in Section 4, “Information about donations to the Project Gutenberg Literary Archive Foundation.”
- You provide a full refund of any money paid by a user who notifies you in writing (or by e-mail) within 30 days of receipt that s/he does not agree to the terms of the full Project Gutenberg™ License. You must require such a user to return or destroy all copies of the works possessed in a physical medium and discontinue all use of and all access to other copies of Project Gutenberg™ works.
- You provide, in accordance with paragraph 1.F.3, a full refund of any money paid for a work or a replacement copy, if a defect in the electronic work is discovered and reported to you within 90 days of receipt of the work.
- You comply with all other terms of this agreement for free distribution of Project Gutenberg™ works.

1.E.9. If you wish to charge a fee or distribute a Project Gutenberg™ electronic work or group of works on different terms than are set forth in this agreement, you must obtain permission in writing from the Project Gutenberg Literary Archive Foundation, the manager of the Project Gutenberg™ trademark. Contact the Foundation as set forth in Section 3 below.

1.F.

1.F.1. Project Gutenberg volunteers and employees expend considerable effort to identify, do copyright research on, transcribe and proofread works not protected by U.S. copyright law in creating the Project Gutenberg™ collection. Despite these efforts, Project Gutenberg™ electronic works, and the medium on which they may be stored, may contain “Defects,” such as, but not limited to, incomplete, inaccurate or corrupt data, transcription errors, a copyright or other intellectual property infringement, a defective or damaged disk or other medium, a computer virus, or computer codes that damage or cannot be read by your equipment.

1.F.2. LIMITED WARRANTY, DISCLAIMER OF DAMAGES - Except for the “Right of Replacement or Refund” described in paragraph 1.F.3, the Project Gutenberg Literary Archive Foundation, the owner of the Project Gutenberg™ trademark, and any other party distributing a Project Gutenberg™ electronic work under this agreement, disclaim all liability to you for damages, costs and expenses, including legal fees. YOU AGREE THAT YOU HAVE NO REMEDIES FOR NEGLIGENCE, STRICT LIABILITY, BREACH OF WARRANTY OR BREACH OF CONTRACT EXCEPT THOSE PROVIDED IN PARAGRAPH 1.F.3. YOU AGREE THAT THE FOUNDATION, THE TRADEMARK OWNER, AND ANY DISTRIBUTOR UNDER THIS AGREEMENT WILL NOT BE LIABLE TO YOU FOR ACTUAL, DIRECT, INDIRECT, CONSEQUENTIAL, PUNITIVE OR INCIDENTAL DAMAGES EVEN IF YOU GIVE NOTICE OF THE POSSIBILITY OF SUCH DAMAGE.

1.F.3. LIMITED RIGHT OF REPLACEMENT OR REFUND - If you discover a defect in this electronic work within 90 days of receiving it, you can receive a refund of the money (if any) you paid for it by sending a written explanation to the person you received the work from. If you received the work on a physical medium, you must return the medium with your written explanation. The person or entity that provided you with the defective work may elect to provide a replacement copy in lieu of a refund. If you received the work electronically, the person or entity providing it to you may choose to give you a second opportunity to receive the work electronically in lieu of a refund. If the second copy is also defective, you may demand a refund in writing without further opportunities to fix the problem.

1.F.4. Except for the limited right of replacement or refund set forth in paragraph 1.F.3, this work is provided to you 'AS-IS', WITH NO OTHER WARRANTIES OF ANY KIND, EXPRESS OR IMPLIED, INCLUDING BUT NOT LIMITED TO WARRANTIES OF MERCHANTABILITY OR FITNESS FOR ANY PURPOSE.

1.F.5. Some states do not allow disclaimers of certain implied warranties or the exclusion or limitation of certain types of damages. If any disclaimer or limitation set forth in this agreement violates the law of the state applicable to this agreement, the agreement shall be interpreted to make the maximum disclaimer or limitation permitted by the applicable state law. The invalidity or unenforceability of any provision of this agreement shall not void the remaining provisions.

1.F.6. INDEMNITY - You agree to indemnify and hold the Foundation, the trademark owner, any agent or employee of the Foundation, anyone providing copies of Project Gutenberg™ electronic works in accordance with this agreement, and any volunteers associated with the production, promotion and distribution of Project Gutenberg™ electronic works, harmless from all liability, costs and expenses, including legal fees, that arise directly or indirectly from any of the following which you do or cause to occur: (a) distribution of this or any Project Gutenberg work, (b) alteration, modification, or additions or deletions to any Project Gutenberg work, and (c) any Defect you cause.

Section 2. Information about the Mission of Project Gutenberg

Project Gutenberg is synonymous with the free distribution of electronic works in formats readable by the widest variety of computers including obsolete, old, middle-aged and new computers. It exists because of the efforts of hundreds of volunteers and donations from people in all walks of life.

Volunteers and financial support to provide volunteers with the assistance they need are critical to reaching Project Gutenberg's goals and ensuring that the Project Gutenberg collection will remain freely available for

generations to come. In 2001, the Project Gutenberg Literary Archive Foundation was created to provide a secure and permanent future for Project Gutenberg and future generations. To learn more about the Project Gutenberg Literary Archive Foundation and how your efforts and donations can help, see Sections 3 and 4 and the Foundation information page at www.gutenberg.org.

Section 3. Information about the Project Gutenberg Literary Archive Foundation

The Project Gutenberg Literary Archive Foundation is a non-profit 501(c)(3) educational corporation organized under the laws of the state of Mississippi and granted tax exempt status by the Internal Revenue Service. The Foundation's EIN or federal tax identification number is 64-6221541. Contributions to the Project Gutenberg Literary Archive Foundation are tax deductible to the full extent permitted by U.S. federal laws and your state's laws.

The Foundation's business office is located at 41 Watchung Plaza #516, Montclair NJ 07042, USA, +1 (862) 621-9288. Email contact links and up to date contact information can be found at the Foundation's website and official page at www.gutenberg.org/contact

Section 4. Information about Donations to the Project Gutenberg Literary Archive Foundation

Project Gutenberg™ depends upon and cannot survive without widespread public support and donations to carry out its mission of increasing the number of public domain and licensed works that can be freely distributed in machine-readable form accessible by the widest array of equipment including outdated equipment. Many small donations (\$1 to \$5,000) are particularly important to maintaining tax exempt status with the IRS.

The Foundation is committed to complying with the laws regulating charities and charitable donations in all 50 states of the United States. Compliance requirements are not uniform and it takes a considerable effort, much paperwork and many fees to meet and keep up with these

requirements. We do not solicit donations in locations where we have not received written confirmation of compliance. To SEND DONATIONS or determine the status of compliance for any particular state visit www.gutenberg.org/donate.

While we cannot and do not solicit contributions from states where we have not met the solicitation requirements, we know of no prohibition against accepting unsolicited donations from donors in such states who approach us with offers to donate.

International donations are gratefully accepted, but we cannot make any statements concerning tax treatment of donations received from outside the United States. U.S. laws alone swamp our small staff.

Please check the Project Gutenberg web pages for current donation methods and addresses. Donations are accepted in a number of other ways including checks, online payments and credit card donations. To donate, please visit: www.gutenberg.org/donate.

Section 5. General Information About Project Gutenberg electronic works

Professor Michael S. Hart was the originator of the Project Gutenberg concept of a library of electronic works that could be freely shared with anyone. For forty years, he produced and distributed Project Gutenberg eBooks with only a loose network of volunteer support.

Project Gutenberg eBooks are often created from several printed editions, all of which are confirmed as not protected by copyright in the U.S. unless a copyright notice is included. Thus, we do not necessarily keep eBooks in compliance with any particular paper edition.

Most people start at our website which has the main PG search facility: www.gutenberg.org.

This website includes information about Project Gutenberg, including how to make donations to the Project Gutenberg Literary Archive Foundation,

how to help produce our new eBooks, and how to subscribe to our email newsletter to hear about new eBooks.